

PROJECT STATUS MEMORANDUM

TO:	Platform Steering Group, VP Engineering
FROM:	Arjun Mehta
DATE:	30/06/2026
RE:	CONDUIT UNIFIED LLM GATEWAY - 2026-Q2 status (Yellow)
REF:	PSR-2026-06

1. Executive summary

Conduit moves to amber. Token consumption grew far faster than the plan assumed once the gateway opened past the pilot teams: an unbudgeted evaluation harness run by the search team, together with internal keys that still carry no spend cap, pushed pass-through provider cost materially ahead of profile. A rate-limit cascade on 14 May took availability for the month to 99.71%, and a buffering regression truncated long streaming responses for six days before anyone noticed. Delivery itself is healthy - a third provider is live behind automatic failover and SOC 2 Type I was awarded in June. No financial position is included this quarter: a full reforecast is in progress with finance and will accompany the Q3 report.

2. Progress this period

- Helion adapter shipped, putting three providers behind automatic failover with health-based ejection.
- Per-key budget caps designed and approved at review; build moved into Q3.
- SOC 2 Type I report awarded on 12 June; the Type II observation window opened on 1 June.
- Streaming moved onto the new load balancer, where a buffering regression truncated long completions for six days before detection.

3. Milestones

Milestone	Owner	Due	Status	Comment
Helion provider adapter	Lena Petrova	15/05/2026	Complete	
Automatic provider failover	Daniel Wu	2026-05-29	Closed	Tested against simulated 429 storms.
Per-key budget caps		19/06/2026	Re-baselined	Design approved; build moved to Q3.
SOC 2 Type I report	Yusuf Karim	12/06/2026	done	Awarded without exceptions.
Multi-region control plane design	Daniel Wu	26/06/2026	Started	Funding decision needed.

5. Key risks

ID	Risk	Owner	Score	Mitigation
R-001	Provider token spend outruns pre-purchased credits	Hannah Okonkwo	16	Per-key budget caps and hard spend stops shipped in July; weekly burn review with finance.
R-002	Upstream rate limits apply per organisation, not per key	Daniel Wu	16	Automatic failover across three providers plus request shaping at the edge; per-organisation quota dashboards.
R-003	Prompt logging retains request bodies beyond data residency commitments	Yusuf Karim	15	Retention cut to 72 hours with field-level redaction; data protection impact assessment updated.
R-004	Single-region control plane is a single point of failure	Daniel Wu	15	Second region live since September with a tested 11-minute failover.

6. Issues and decisions required

- Provider token consumption is materially ahead of profile; a reforecast is in progress with finance and lands with the Q3 report.
- The 14 May cascade is not fully explained: the runbook assumed per-key rate limits, but the provider applies them per organisation.
- Vendor commercials - see attached.

7. Focus for next period

- Ship per-key budget caps and hard spend stops.
- Complete the cost reforecast and take it to the steering group.
- Decide whether to fund the multi-region control plane from contingency.

Prepared by Arjun Mehta | PSR-2026-06 | issued 30/06/2026